Customer Service Level Agreement

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1. Purpose

This Service Level Agreement ("SLA") defines the service levels Harbor & Pine Logistics ("HPL") commits to for its warehousing and transportation customers, how performance is measured, and the service credits available when HPL misses a target. It forms part of each customer's master services agreement.

2. Definitions

- **Promised date** - the delivery date communicated to the customer when the shipment is booked: ship date plus the standard transit time for the destination zone.
- **On-time delivery** - a shipment delivered on or before its promised date.
- **On-time delivery rate** - on-time shipments divided by all delivered shipments in the measurement period, excluding the shipments listed in Section 5.
- **Order accuracy** - orders shipped with the correct items and quantities, divided by all orders shipped.
- **Dock-to-stock time** - time from inbound check-in until goods are available for picking.
- **Measurement period** - one calendar month.

3. Service Levels

Metric	Target
On-time delivery rate	at least 95.0%
Order accuracy	at least 99.5%
Dock-to-stock time	within 24 hours
Inquiry first response	by customer tier (Section 6)

4. Service Credits

4.1 If HPL's on-time delivery rate for a customer falls below target in a measurement period, the customer is entitled to a service credit calculated on that period's total freight charges for the customer:

On-time delivery rate in the period	Service credit
90.0% up to (but not including) 95.0%	2% of the period's freight charges
below 90.0%	5% of the period's freight charges

4.2 Credits do not stack: the single applicable tier is applied. The maximum credit in any period is 5% of freight charges.

4.3 Customers must request a credit in writing within 60 days after the end of the measurement period. Credits are applied to the next invoice and are the customer's sole remedy for missed service levels.

5. Exclusions

The following shipments are excluded from the on-time delivery calculation:

5.1 **Force majeure.** Shipments delayed by events outside HPL's and its carriers' reasonable control - including severe weather, road closures, natural disasters and government actions - provided the event is documented on the shipment record (for example as a weather hold noting the affected route).

5.2 **Customer-caused delays.** Late order release (after the same-day cut-off of 15:00), incorrect or incomplete delivery addresses, consignee not available, or delivery appointments requested by the customer for a date later than the promised date.

5.3 **Shipments not yet delivered** at the end of the period are measured in the period in which they are delivered.

6. Customer Tiers and Support

Tier	Support model	First response
Gold	dedicated account manager	within 2 business hours
Silver	shared account team	within 8 business hours
Standard	ops desk	within 24 business hours

7. Reporting

7.1 HPL provides each customer with a monthly performance scorecard by the 5th business day of the following month, showing every metric in Section 3, the shipments excluded under Section 5 and any credit due.

7.2 Customers may request shipment-level detail for any metric. Disputes about the scorecard must be raised within 30 days of its delivery.

8. Review

HPL and the customer review service levels and targets at least once a year, or earlier if the customer's volume or service profile changes significantly.